HUD Loan Sizing: DSCR NOI vs. *Appraised Value NOI*

Why HUD Underwrites Two NOIs on One Deal — and What Each Means

On every HUD multifamily deal the underwriter works with two NOIs, not one. They start from the same property and usually land close, but they're built to different standards and feed different parts of the loan sizing — and the space between them can be worth real proceeds.

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A HUD underwriter looks at a project's NOI from two angles: one NOI is used against HUD's debt service coverage ratio to determine the DSCR loan amount, and one is based on the appraiser's direct capitalization value (NOI divided by the market cap rate) — which determines the LTV loan amount. The two NOIs have different standards the underwriter must follow. The **DSCR NOI** is meant to mirror the property's reality while staying inside HUD's underwriting rules; the appraiser's **Market NOI** is what a hypothetical investor would expect the property to earn. The two usually are close, but they can differ on three lines — income, vacancy, and expenses — and having a lender know how to interpret the differences can produce materially more mortgage proceeds.

Everything that follows describes the 223(f), where the loan is sized on both value and coverage — so the appraiser's Market NOI and the DSCR NOI each drive a separate loan amount. The other common programs only put a DSCR NOI in play: the 221(d)(4) is sized to cost rather than to an appraised value, so the Market NOI doesn't drive its proceeds, and the 223(a)(7) streamlined refinance uses no new appraisal at all.

01
THE DSCR NOI

How HUD Builds the *DSCR NOI*

For the DSCR NOI, the underwriter starts from the property's current rent collection. Normally, the method is the latest rent roll's actual rent on occupied units plus the market rent on vacant units; that sum is the Gross Residential Rent Potential, and a vacancy factor comes off it. HUD's minimum vacancy depends on how much affordability the project carries — for a market-rate project it's 7%, including collection loss. Where the property's actual vacancy runs higher, the underwriter will normally use the actual rate. The underwritten vacancy is the greater of the minimum below and the property's own rate.

MINIMUM VACANCY & COLLECTION LOSS	PROPERTY TYPE
3%	Properties with HAP contracts covering 90% or more of units
5%	LIHTC properties meeting the minimum set-aside requirements and with attainable tax-credit rents at least 10% below market
7%	Market-rate properties, or other affordable projects not meeting the 3% or 5% rules

> **Worth watching.** HUD has signaled interest in lowering the market-rate floor below 7% for properties with a sustained occupancy record. Nothing has been issued and nothing has changed. We will update this paper if it does. *(Noted August 2026.)*

HUD's 7% floor applies only to the DSCR NOI. Fannie's equivalent — the greater of 5% of gross potential rent or the gap between gross potential rent and annualized trailing-three-month collections — sits inside the underwritten net cash flow that drives both its coverage test and its value conclusion. On a clean market-rate property Fannie's 5% is the lower number, so on coverage alone Fannie underwrites less vacancy than HUD does. The difference is that Fannie's floor travels into value and HUD's does not.

Two other differences worth knowing. Fannie's treatment of declining collections is formulaic: the underwriter tests the trailing three months against the trailing six and twelve and marks income down when the decline exceeds two percent. HUD has no equivalent formula, which is not the same as no exposure: if collections are trending down, HUD can question whether the current rent roll represents sustainable income and require the Rent Potential be underwritten lower. What you can compute in advance on a Fannie deal, you have to defend on a HUD deal. And on a property still leasing up, HUD will underwrite to the revenue actually being collected

once the project holds programmatic coverage for three consecutive months, where Fannie requires stabilized occupancy. From there the DSCR NOI runs through HUD's DSCR coverage mortgage amount test; our 223(f) loan sizing guide walks the full set of sizing tests.

02

THE MARKET NOI

Where the *Appraiser* Can Go Higher

The appraiser builds the Market NOI a little differently. Income comes from comparable projects' rents compared against the property's actual, current rents. If the property runs very low vacancy with rents below market, the appraiser can set income above the figure used in the DSCR NOI analysis.

The appraiser can also use a vacancy below the DSCR table. Where the DSCR analysis is locked at 7% for a market-rate project, the appraiser might conclude the market's vacancy is 4% and underwrite to 4%. That vacancy difference alone can add millions in mortgage proceeds if the LTV is constraining the mortgage amount, because the Market NOI drives appraised value and the LTV ceiling moves with it.

03

EXPENSES

Where the *Expense Lines* Differ

Expenses can vary between the two NOIs the same way. The DSCR side wants expenses that reflect the property's reality; the appraiser wants expenses that reflect the marketplace, and the two get reconciled where they differ. Easy examples are an above-market management fee paid to a related entity, or a property insurance premium that runs unusually low.

The most common difference is the annual deposit to replacement reserves. The appraiser often carries $250 per unit; while the DSCR NOI must use the figure the Property Capital Needs Assessment (PCNA) sets during underwriting. Larger gaps in the total expenses can come from the cost of operating under affordability restrictions and from real estate taxes under abatements, TIFs, and similar arrangements.

04

THE PROCEEDS IMPACT

What a Small Gap *Is Worth*

The two NOIs can finish close and still produce very different loan amounts. Say the appraiser concludes the market's management fee is $10,000 below the property's actual. At a 5% cap rate, that's roughly $160,000 of additional value — and additional LTV-constrained proceeds — off a single expense line.

None of that is gaming the rules. It's building each NOI to the standard HUD assigns it: reality on the DSCR side, the market on the appraisal side. On the right deal, that reconciliation is the difference between an adequate loan and the largest one the property can defensibly support.

05

FAQ

Frequently Asked *Questions*

What is the difference between the DSCR NOI and the Market NOI on a HUD multifamily loan?

The DSCR NOI (also called the Debt Service NOI) is the figure HUD's underwriter builds to size the loan against the debt service coverage ratio. It is meant to mirror the property's reality within HUD's rules, using HUD's minimum vacancy and the replacement reserve set by the Property Capital Needs Assessment. The Market NOI is the figure the third-party appraiser develops from market rent and expense comparables. The Market NOI, when divided by the market capitalization rate, produces appraised value, which drives the LTV mortgage amount. The two NOIs usually land close but diverge on three lines: income, vacancy, and expenses.

Does HUD underwrite multifamily income from the current rent roll or a trailing average?

For the DSCR NOI, HUD underwrites income from the current rent roll — actual rent on occupied units plus market rent on vacant units. Fannie Mae builds gross potential rent the same way, so the difference between the two programs is not the rent basis. It is what comes off it. Fannie deducts the greater of 5% of gross potential rent or the gap between gross potential rent and annualized trailing-three-month collections, and applies that deduction to the cash flow driving both its coverage test and its value conclusion. HUD's 7% minimum applies only to the DSCR NOI; the appraiser building the Market NOI is not bound by it.

What is HUD's minimum vacancy for a market-rate multifamily deal?

For the DSCR NOI on a market-rate property, HUD applies a minimum vacancy and collection-loss factor of 7%, even when actual vacancy is lower. Affordable properties carry lower floors: 5% for LIHTC properties that meet the minimum set-aside requirements and have attainable tax-credit rents at least 10% below market, and 3% for properties with HAP contracts covering at least 90% of units. Where actual vacancy is higher than the floor, HUD uses the actual rate. The appraiser developing the Market NOI is not bound by these floors and can use the actual market vacancy, which is often lower — 4% against a 7% floor, for example.

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HUD/FHA Multifamily Origination

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